

America Makes — where we stand, and what we need from you

For Barb Ewing · Monday 14 September 2026 · Computed from the 2025 general ledger, not estimated. Detail:
WP_AM_RESTATEMENT_IF_ACCEPTED.md

What we found

YBI bills America Makes labour at a **loaded rate** — about **1.77× what the person actually costs** in wages and fringe. That extra is indirect recovery, but it sits *inside the labour line* and nothing says so. Meanwhile all four agreements elect the **10% de minimis** indirect rate, which is charged separately and openly.

So the numbers are broadly fine; **the disclosure is not**. That is the finding.

The money, if we restate 2025

CONTRACT	CEILING	BILLED 2025	SUPPORTED BY COST	DIFFERENCE
Last Tactical Mile	899,500	368,222	475,906	+107,684 to claim
Drive AM	1,103,594	579,241	520,455	(58,786) owed back
Hybrid Phase 2	512,409	191,638	132,166	(59,472) owed back
Total		1,139,101	1,128,526	(10,575) net give-back

We recovered 100.9% of our full cost in 2025 — no windfall. Two contracts over-collected, one under-collected, and they roughly cancel. They stay three separate conversations: a single “\$10,575” tells NCDMM nothing and looks like we are hiding both halves.

Why it is still worth doing

\$203,790 a year. A loaded labour rate recovers indirect only on labour. It cannot touch subcontracts, consultants, materials or travel — where most of our award spending sits. A proper rate reaches it, so **the recurring value is roughly twenty times the one-off**.

The catch, and it is the real negotiation

A contract ceiling caps direct *and* indirect together, and today's budgets give almost all of it to direct. If NCDMM accepts our rate but leaves the ceilings unchanged, the direct budget shrinks by **\$674,367** — **about 28% less programme delivered for the same money**.

So the ask is **accept the rate and move the ceilings**. Accepting the rate quietly and delivering the original scope is where we are now, in a new costume.

Three things must happen before we approach them

1. Kelly's square footage	Our rate reads 43.99% only because no building is measured. At a realistic tenant share it is 37.67% and the give-back grows to \$60,108 — so restating first would mean over-claiming on a rate <i>we proposed ourselves</i> .
2. Certifications — 0 of 43 signed	Restating makes labour the audited cost rather than a rate, so we lean <i>harder</i> on it. The pre-filled timesheets are ready for people to review and sign.
3. Drive AM's \$92,876	We billed that much more in materials and travel than the ledger supports. Either our cost record is short or the billing over-claimed — and it sits underneath our largest credit.

What we need from you on Monday

1. **Do we raise the two credits ourselves?** Yes, I recommend — first and unprompted. An organisation that brings its own over-recovery to the table is one whose \$107,684 claim gets read generously. Them finding it for us is the bad version.
2. **Who opens the conversation with NCDMM, and when?** Nothing should go out before items 1–3 above are closed. Realistically that is weeks, not days.
3. **Can you push the 43 certifications?** They are your people, and this is the longest lead time on the list.
4. **Nobody has looked at 2024.** The awards began in 2023 and 2024. If they were billed the same way, the same exercise applies. Do you want us to look?

One sentence: A proper indirect rate is worth about \$200,000 a year going forward and costs about \$10,000 in one-off 2025 adjustments — but only if the ceilings move with it, and only after we measure the buildings and get the timesheets signed.